Human Resource Management - Written Exam Q&A

96 model answers by unit, with marks, marking scheme and where each question was asked

How to use: 2 marks = definition + 1 point (3-4 lines) · 3 marks = intro + 3 points · 5-6 marks = intro + 5-6 headed points + example/table · 10 marks = intro, headings, table/diagram, example, conclusion. **Stars:** *** asked in your PDFs (very likely), ** core syllabus, * possible. Answers marked [answer from standard knowledge] are not in your notes - check them with class notes.

Unit I

Q1. [2 marks] Name the managerial and operative functions of HRM.

Functions of HRM · ***

- **Managerial functions:** planning, organising, directing and controlling HR activities.
- **Operative functions:** procurement, development, compensation, integration and maintenance of employees.

Managerial functions apply the management process to HR; operative functions are the specific HR activities performed.

Marking scheme: Managerial 1 · operative 1

Asked in: Important Questions - Unit 1, Q3 [answer from standard HRM knowledge - no notes PDF for this unit]

Q2. [3 marks] Explain the managerial functions of HRM.

Functions of HRM · ***

The managerial functions apply the four functions of management to the human resource area.

1. **Planning:** forecasting HR needs and framing policies, programmes and procedures. *E.g.* a manpower plan.
2. **Organising:** grouping activities, defining duties and authority, and creating relationships among employees.
3. **Directing:** guiding, motivating, communicating with and leading employees so that they work willingly.
4. **Controlling:** comparing actual performance with standards and correcting deviations through appraisal and audit.

Marking scheme: Introduction 0.5 · four functions 2 · example 0.5

Asked in: Important Questions - Unit 1, Q3 [answer from standard HRM knowledge - no notes PDF for this unit]

Q3. [5 marks] Explain the managerial and operative functions of HRM.

Functions of HRM · ***

Introduction

The functions of HRM are broadly divided into managerial and operative functions. Managerial functions apply management principles to HR; operative functions are the specific tasks of managing people.

A. Managerial functions

- **Planning** - setting HR objectives, forecasting the workforce and framing HR policies.
- **Organising** - creating the HR structure, assigning duties and delegating authority.
- **Directing** - motivation, leadership and communication.
- **Controlling** - appraisal, audit and corrective action.

B. Operative functions

Function	Activities
Procurement	HR planning, recruitment, selection, placement
Development	Training, career development, succession planning
Compensation	Job evaluation, wages, incentives, benefits
Integration	Uniting employee and organisational interests, motivation, participation
Maintenance	Health, safety, welfare, grievance handling

Conclusion

Managerial functions guide the process while operative functions carry out the HR work; together they make HRM effective.

Marking scheme: Introduction 0.5 · managerial 2 · operative 2 · conclusion 0.5

Asked in: Important Questions - Unit 1, Q3 [answer from standard HRM knowledge - no notes PDF for this unit]

Q4. [2 marks] What is an HR policy?

HR Policies · **

An **HR policy** is a general guideline or standing plan that tells managers how to deal with people matters consistently, so that similar cases are treated alike.

- It guides decisions on matters like recruitment, promotion, leave, pay and discipline.
- It is written, communicated and applied equally throughout the organisation.

Example: A leave policy that gives every employee the same number of casual leaves.

Marking scheme: Definition 1 · two points 0.5 each · example 0.5

Asked in: Important Questions - Unit 1, Q5 [answer from standard HRM knowledge - no notes PDF for this unit]

Q5. [3 marks] "HRM policies and principles contribute to the effectiveness, continuity and stability of the organisation." Explain.

HR Policies · ***

HR policies and principles are the framework within which all HR decisions are made. They help the organisation in three ways:

1. **Effectiveness:** clear policies guide managers, save time in decision making and keep decisions in line with organisational goals.
2. **Continuity:** policies remain the same even when managers change, so work and practices continue smoothly.
3. **Stability:** equal and predictable treatment of employees reduces conflicts, builds trust and keeps morale and attrition steady.

Example: A written promotion policy applies the same rules to every employee irrespective of who the manager is.

Marking scheme: Introduction 0.5 · three points 2 · example 0.5

Asked in: Important Questions - Unit 1, Q5 [answer from standard HRM knowledge - no notes PDF for this unit]

Q6. [5 marks] Explain the importance and principles of a good HR policy.

HR Policies · **

Importance

- Ensures uniform and fair treatment of employees.
- Speeds up decisions because the rules are already known.
- Helps in control, because actual practice can be compared with policy.
- Builds employee confidence and a good organisational image.

Principles of a good policy

- Clear, written and easily understood.

- Consistent with the law and organisational objectives.
- Reasonable, flexible and capable of review.
- Communicated to all employees and applied equally.

Marking scheme: Importance 2.5 · principles 2.5

Asked in: Important Questions - Unit 1, Q5 [answer from standard HRM knowledge - no notes PDF for this unit]

Q7. [2 marks] What is Personnel Management?

HRM vs Personnel Management · ***

Personnel Management is the older, administrative approach to handling employees. It is concerned with routine activities such as **recruitment, payroll, attendance, discipline and record keeping**.

- It treats employees as a **cost** to be controlled.
- It is **reactive**: it acts only when a problem arises, and it has little link with business strategy.

Example: A personnel department that only maintains attendance registers and processes salaries.

Marking scheme: Definition 1 · two points 0.5 each · example 0.5

Asked in: Important Questions - Unit 1, Q2 [answer from standard HRM knowledge - no notes PDF for this unit]

Q8. [3 marks] State any three differences between HRM and Personnel Management.

HRM vs Personnel Management · ***

Basis	Personnel Management	HRM
View of employees	A cost to be minimised	A valuable resource / asset to be developed
Approach	Reactive and routine	Proactive and strategic
Scope	Hiring, payroll, records	Planning, development, motivation, culture

Explanation: personnel management is limited to administering employees, while HRM aims at developing people and linking them to business strategy for long-term growth.

Marking scheme: Three differences 1 each

Asked in: Important Questions - Unit 1, Q2 [answer from standard HRM knowledge - no notes PDF for this unit]

Q9. [6 marks] "HRM is not merely an extension of Personnel Management but a paradigm shift." Critically examine this statement by distinguishing between HRM and Personnel Management.

HRM vs Personnel Management · ***

Introduction

A **paradigm shift** is a fundamental change in the way of thinking. The statement says that HRM is not just old personnel management with a new name; it changes how the organisation looks at its people.

Distinction

Basis	Personnel Management	HRM
View of people	A cost to be controlled	A valuable resource that can be developed
Approach	Reactive, routine, clerical	Proactive and strategic
Scope	Payroll, attendance, records, discipline	Planning, development, motivation, culture
Link with strategy	None or weak	Fully integrated with business strategy
Role of the manager	Staff specialist working alone	Strategic partner; line managers share HR work
Time horizon	Short term	Long term

Critical examination

- **In favour:** HRM brings a new philosophy - people as assets, commitment instead of compliance, and strategic planning.
- **Against:** basic activities such as hiring, pay and discipline are the same in both; in many firms HRM is only

a change of name.

Conclusion

The statement is largely true where HRM is truly strategic; it is a shift in outlook, not merely in functions.

Marking scheme: Introduction 1 · table (any 4 rows) 3 · critical view 1 · conclusion 1

Asked in: Important Questions - Unit 1, Q2 [answer from standard HRM knowledge - no notes PDF for this unit]

Q10. [5 marks] What are the essential skills required for an HR manager?

Importance of HRM · ***

The HR manager deals with people at all levels, so both people skills and business skills are needed.

1. **Communication and interpersonal skills** - to listen, explain, counsel and persuade employees and management.
2. **Leadership and negotiation skills** - to motivate teams and settle conflicts and bargaining.
3. **Analytical and decision-making skills** - to study HR data, forecast manpower needs and solve problems.
4. **Technical / IT skills** - to use HR software, online recruitment and HR analytics.
5. **Ethics and integrity** - to keep confidences and treat everyone fairly.

Conclusion: a successful HR manager combines human understanding with business and technical competence.

Marking scheme: Introduction 0.5 · five skills with explanation 4 · conclusion 0.5

Asked in: Important Questions - Unit 1, Q6 [answer from standard HRM knowledge - no notes PDF for this unit]

Q11. [6 marks] Explain the importance of HRM in the emerging scenario. What are the essential skills for an HR manager?

Importance of HRM · ***

Introduction

Competition, new technology and globalisation have made skilled and committed people the main source of competitive advantage. This has increased the importance of HRM.

Importance of HRM

- **Competitive advantage:** machines and money can be copied, but skilled, motivated people cannot.
- **Coping with technology change:** continuous training keeps employees up to date.
- **Higher productivity and lower turnover:** motivated employees perform better and stay longer.
- **Legal and ethical compliance:** HRM keeps the firm within labour laws and builds a good image.
- **Better industrial relations:** fair policies reduce disputes.

Essential skills of an HR manager

- Communication and interpersonal skills.
- Leadership, negotiation and conflict handling.
- Analytical and IT skills (HR analytics).
- Ethics and integrity.

Marking scheme: Introduction 1 · importance 3 · skills 2

Asked in: Important Questions - Unit 1, Q6 [answer from standard HRM knowledge - no notes PDF for this unit]

Q12. [2 marks] Define Human Resource Management.

Introduction to HRM · ***

Human Resource Management (HRM) is the process of **acquiring, developing, motivating and maintaining** a competent workforce so that the organisation can achieve its goals efficiently.

- **Acquiring** - planning, recruiting and selecting the right people.

- **Developing and motivating** - training, rewarding and guiding them to perform better.
- **Maintaining** - looking after their health, safety, welfare and relations with the management.

Example: A retail chain that plans its staff needs, hires and trains store employees, pays incentives and handles their complaints is practising HRM.

Marking scheme: Definition 1 · two explained points 0.5 each · example 0.5

Asked in: Important Questions - Unit 1, Q1 [answer from standard HRM knowledge - no notes PDF for this unit]

Q13. [2 marks] State the nature (features) of HRM.

Introduction to HRM · **

HRM is concerned with managing the people of an organisation in a planned way.

- **People oriented** - it deals with human beings, not machines or money.
- **Continuous process** - it is not a one-time activity; it goes on as long as the organisation exists.
- **Pervasive** - every manager, not only the HR department, performs HR work.
- **Strategic** - it is linked with business objectives.

Marking scheme: Any four features, 0.5 each

Asked in: Core syllabus (Unit I) [answer from standard HRM knowledge - no notes PDF for this unit]

Q14. [3 marks] Explain the features of HRM with examples.

Introduction to HRM · **

HRM treats employees as a valuable resource and manages them in a systematic and continuous way. Its main features are:

1. **People-oriented:** HRM deals with human beings whose feelings and motivation affect performance. *Example:* a manager who recognises good work boosts morale.
2. **Continuous process:** hiring, training, appraisal and welfare go on throughout the life of the firm, not only at hiring time.
3. **Pervasive function:** every department manager supervises, appraises and motivates his own team, so HRM is everyone's job.
4. **Strategic and integrated:** HR plans are made to support the business strategy, e.g. hiring digital skills when the firm moves online.

Marking scheme: Introduction 0.5 · three features with explanation 2 · example 0.5

Asked in: Core syllabus (Unit I) [answer from standard HRM knowledge - no notes PDF for this unit]

Q15. [5 marks] Discuss the scope of HRM.

Introduction to HRM · ***

Introduction

The scope of HRM covers all activities connected with an employee from the time of entering the organisation until leaving it. It is the **employee life cycle**.

Scope of HRM

1. **Procurement (acquisition):** HR planning, job analysis, recruitment and selection - getting the right people in the right number.
2. **Development:** induction, training, career development and succession planning - improving knowledge, skills and attitudes.
3. **Compensation:** job evaluation, wages, incentives and fringe benefits - fair reward for work.
4. **Integration and maintenance:** motivation, health and safety, welfare, grievance handling and industrial relations - keeping employees satisfied and committed.
5. **Separation:** resignation, retirement, retrenchment and exit interviews.

Conclusion

Thus HRM extends from planning the workforce to managing exit, covering every people-related activity.

Marking scheme: Introduction 1 · five areas of scope 3 · conclusion 1

Asked in: Core syllabus (Unit I) [answer from standard HRM knowledge - no notes PDF for this unit]

Q16. [10 marks] Define HRM and discuss its objectives and scope. Trace the evolution of Human Resource Management.

Introduction to HRM · ***

1. Introduction

People are the most important resource of an organisation. **Human Resource Management** is the process of **acquiring, developing, motivating and maintaining** a workforce so that the organisation achieves its goals. It is both a function of management and a philosophy that sees employees as valuable assets rather than as a cost.

2. Objectives of HRM

Objective	Meaning	Illustration
Organisational	Contribute to the effectiveness of the organisation; right people at the right place	Workforce planning for a new plant
Functional	Keep the HR department's service in proportion to the organisation's needs	Cost-effective recruitment and payroll
Societal	Behave ethically and responsibly towards society; follow laws	Equal opportunity, no child labour
Personal	Help employees achieve their own goals, growth and satisfaction	Training, promotion paths

3. Scope of HRM

- **Procurement:** HR planning, job analysis, recruitment, selection, placement.
- **Development:** training, career development, succession planning.
- **Compensation:** job evaluation, wage and salary administration, incentives, benefits.
- **Integration and maintenance:** motivation, welfare, health and safety, grievance and industrial relations.
- **Separation:** retirement, resignation, retrenchment.

4. Evolution of HRM

Stage	Approach
Welfare work	Employers looked after workers' working conditions and welfare
Personnel management	Clerical and administrative: hiring, payroll, records, discipline
Human resource management	People seen as resources; planning, development and motivation linked to strategy
Strategic HRM	HR fully aligned with business strategy, technology and globalisation

Example: A factory that earlier only kept attendance registers now runs HR analytics, training programmes and career paths for its staff.

5. Conclusion

HRM has grown from simple welfare and record keeping into a strategic partner of top management, because the quality of people decides the success of every organisation.

Marking scheme: Introduction 1 · objectives 2.5 · scope 2.5 · evolution 3 · conclusion 1

Asked in: Important Questions - Unit 1, Q1 [answer from standard HRM knowledge - no notes PDF for this unit]

Q17. [3 marks] What are the societal objectives of HRM?

Objectives of HRM · **

Societal objectives mean that the HR department must be **ethically and socially responsible** to the society in which the firm operates.

- **Compliance with laws:** labour laws, minimum wages, safety and non-discrimination rules.
- **Fair employment:** equal opportunity for all groups without bias of gender, caste or religion.
- **Reducing negative impact:** avoiding practices that harm society, such as child labour or exploitation.

Example: A firm that hires persons with disabilities and follows the minimum wage law meets its societal objectives.

Marking scheme: Meaning 1 · three points 1.5 · example 0.5

Asked in: Important Questions - Unit 1, Q1 [answer from standard HRM knowledge - no notes PDF for this unit]

Q18. [6 marks] Explain the objectives of HRM under the headings of organisational, functional, societal and personal objectives.

Objectives of HRM · ***

Introduction

HRM objectives are the goals that the HR function sets to serve the organisation, its employees and society. They are classified into four groups.

1. Organisational objectives

HRM exists to help the organisation become effective. It does not exist for itself. It ensures the **right people are in the right place** and supports the achievement of organisational goals.

2. Functional objectives

These keep the contribution of the HR department at a level suitable to the organisation's needs. Resources should be used well: an HR department that is too costly or too weak for the firm's size defeats its purpose.

3. Societal objectives

The organisation must be ethically and socially responsible. This includes obeying laws, giving fair employment and reducing the negative impact of its business on society. Failure can lead to restrictions or loss of reputation.

4. Personal objectives

HRM helps employees achieve their personal goals so long as these also support the organisation. Training, career growth, fair pay and recognition increase motivation, satisfaction and retention.

Example: A company that plans its workforce (organisational), keeps HR cost reasonable (functional), follows labour laws (societal) and offers training and promotion (personal).

Marking scheme: Introduction 1 · four objectives 1 each · example 1

Asked in: Important Questions - Unit 1, Q1 [answer from standard HRM knowledge - no notes PDF for this unit]

Q19. [3 marks] Explain any three roles of the HR manager.

Role of HR Manager · ***

1. **Policy maker / adviser:** advises top management on HR policies such as hiring, pay and discipline and helps frame them.
2. **Conciliator (mediator):** acts as a link between management and employees; handles grievances and settles disputes.
3. **Strategic partner and change agent:** helps plan the business, introduces new technology and manages organisational change.

Example: When two employees quarrel, the HR manager hears both and settles the matter fairly (conciliator).

Marking scheme: Three roles with explanation 2.5 · example 0.5

Asked in: Important Questions - Unit 1, Q4 [answer from standard HRM knowledge - no notes PDF for this unit]

Q20. [5 marks] Examine the changing role of HR in the era of globalisation and digital transformation.

Role of HR Manager · ***

Introduction

Globalisation has created multinational and multicultural workplaces, and digital technology has changed how

work is done. HR must change from an administrative department to a strategic one.

Effect of globalisation

- Managing diverse, multicultural teams and global talent.
- Common standards of HR practice across countries with respect for local laws and culture.

Effect of digital transformation

- **HR technology:** HRMS software, online recruitment, e-learning, biometric attendance.
- **Remote and hybrid work:** flexible policies and virtual team management.
- **HR analytics:** data-based decisions on hiring, attrition and performance.
- **Re-skilling:** training employees for new technologies such as AI.

Conclusion

HR is now a strategic partner and change agent that builds skills, culture and flexibility to compete globally.

Marking scheme: Introduction 1 · globalisation 1.5 · digital 2 · conclusion 0.5

Asked in: Important Questions - Unit 1, Q7 [answer from standard HRM knowledge - no notes PDF for this unit]

Q21. [6 marks] Discuss the role of the HR manager and how it is changing.

Role of HR Manager · ***

Introduction

The HR manager is the person responsible for planning and carrying out all people-related activities of the organisation. The role has changed from administrator to strategic partner.

Traditional roles

- **Administrator and record keeper** - maintaining files, payroll and attendance.
- **Policy maker** - framing HR rules and procedures.
- **Conciliator** / **mediator** - link between employees and management; handles grievances.
- **Welfare officer** - looks after health, safety and facilities.

Changing role

Old role	New role
Record keeper	Strategic partner of top management
Controls and enforces rules	Change agent who leads culture and technology change
Looks after the department	Employee champion - engagement, well-being, development
Works from files	Uses HR data and analytics for decisions

Conclusion

The HR manager has moved from paperwork to partnership: from managing people to developing a competitive workforce.

Marking scheme: Introduction 1 · traditional roles 2 · changing role 2 · conclusion 1

Asked in: Important Questions - Unit 1, Q4 [answer from standard HRM knowledge - no notes PDF for this unit]

Q22. [10 marks] "The role of the HR manager has changed from administrator to strategic partner." Discuss, with reference to globalisation and digital transformation.

Role of HR Manager · **

1. Introduction

The HR manager is the person responsible for acquiring, developing and maintaining the human resources of the organisation. Until some decades ago the role was mostly administrative: maintaining records, running payroll and enforcing rules. Competition, globalisation and digital technology have changed this role.

2. Traditional role

- Record keeping, payroll and attendance.
- Policy enforcement and discipline.
- Welfare and conciliation between management and workers.

3. Factors that changed the role

Force	Effect on HR
Globalisation	Multicultural workforce, global hiring, international standards
Technology and digital change	HRMS, e-recruitment, e-learning, analytics, remote work
Competition	Need for skilled and innovative talent
Changing workforce	Younger employees expect flexibility, growth and purpose

4. The new roles

1. **Strategic partner** - participates in business planning.
2. **Change agent** - leads organisational and technological change.
3. **Employee champion** - engagement, well-being and career growth.
4. **Talent and data manager** - HR analytics and skills planning.
5. **Culture builder** - ethics, diversity and values.

Example: Instead of filling attendance registers, the HR head of an IT firm studies attrition data, plans reskilling in AI and designs hybrid-work policy.

5. Conclusion

The HR manager has become a partner who influences business strategy. Success needs business knowledge, technology skill and human understanding.

Marking scheme: Introduction 1 · traditional role 1.5 · factors 2 · new roles 3 · example 1 · conclusion 1.5

Asked in: Important Questions - Unit 1, Q7 [answer from standard HRM knowledge - no notes PDF for this unit]

Unit II

Q23. [2 marks] Define Human Resource Planning.

Human Resource Planning · ***

Human Resource Planning (HRP) is the process of **forecasting an organisation's future demand for and supply of employees** and planning to meet the gap, so that the right number and type of people are available at the right time.

- It matches the **number and quality** of employees with organisational needs.
- It avoids both shortage (lost work) and surplus (idle cost).

Example: A firm planning to open five new branches estimates the staff needed and starts hiring in advance.

Marking scheme: Definition 1 · two points 0.5 each · example 0.5

Asked in: Important Questions - Unit 2, Q1 [answer from standard HRM knowledge - no notes PDF for this unit]

Q24. [3 marks] Explain the objectives and importance of Human Resource Planning.

Human Resource Planning · ***

HRP ensures that the organisation always has the right people to carry out its plans.

1. **Right man at the right time:** prevents shortage or surplus of employees.
2. **Control of labour cost:** hiring only as many people as needed saves salary cost.
3. **Basis for other HR activities:** recruitment, training and succession planning all follow the HR plan.

Example: An IT firm plans to recruit 200 trainees before a large project begins.

Marking scheme: Introduction 0.5 · three points 2 · example 0.5

Asked in: Important Questions - Unit 2, Q1 [answer from standard HRM knowledge - no notes PDF for this unit]

Q25. [3 marks] Explain the methods of forecasting supply of human resources.

Human Resource Planning · ***

Supply forecasting estimates how many employees will be available - inside and outside the firm.

1. **Markov analysis:** shows the probability of employees moving between jobs, being promoted or leaving; it predicts internal supply.
2. **Skill inventory and replacement charts:** records of employees' skills and charts showing who can replace whom.
3. **External supply study:** labour market, campuses, competitors and migration give the outside supply.

Example: If 10% of staff leave every year, the supply next year is 90% of present staff plus promotions.

Marking scheme: Introduction 0.5 · three methods 2 · example 0.5

Asked in: Important Questions - Unit 2, Q4 [answer from standard HRM knowledge - no notes PDF for this unit]

Q26. [3 marks] What are the barriers to effective HRP, and how can they be overcome?

Human Resource Planning · ***

Barrier	Why it is a problem	Remedy
Lack of top management support	No resources or priority is given to planning	Show the benefits and involve top management
Inaccurate data and forecasts	Wrong plans are made	Improve the HR information system
Resistance from managers and employees	Plans are not implemented	Communication and participation

Other barriers are uncertainty of the environment and the cost and time of planning.

Marking scheme: Three barriers with remedies 1 each

Asked in: Important Questions - Unit 2, Q12 [answer from standard HRM knowledge - no notes PDF for this unit]

Q27. [5 marks] Define Human Resource Planning and explain its process.

Human Resource Planning · ***

Introduction

Human Resource Planning is the process of forecasting the future demand for and supply of employees and planning to fill the gap, so that the right people are available at the right time.

Process of HRP

1. **Analysing organisational objectives and plans** - HR plans flow from business plans (expansion, new products).
2. **Forecasting demand** - estimating the number and skills of employees required.
3. **Forecasting supply** - assessing internal availability (existing staff, promotions, turnover) and the external labour market.
4. **Identifying the gap** - comparing demand and supply to find shortage or surplus.
5. **Preparing action plans** - recruitment, training, redeployment or retrenchment.
6. **Implementation, control and review** - monitoring results and revising the plan.

Conclusion: a systematic HR plan makes the workforce ready for the organisation's growth.

Marking scheme: Definition 1 · six steps 3.5 · conclusion 0.5

Asked in: Important Questions - Unit 2, Q1 [answer from standard HRM knowledge - no notes PDF for this unit]

Q28. [5 marks] Discuss the factors affecting HRP (internal and external). How can an organisation respond to each?

Human Resource Planning · ***

Introduction

HRP does not work in isolation; it is influenced by factors inside and outside the organisation.

Type	Factor	Effect	How to respond
Internal	Organisational strategy and growth plans	Decide number and kind of employees	Align the HR plan with the business plan
Internal	Organisational structure and job design	Change in the number of jobs	Review structure regularly
Internal	Employee turnover, skills inventory	Shortage of skills	Retention plans, training
External	Labour market and unemployment	Availability of talent	Use campus hiring, flexible contracts
External	Economy and technology	Demand for skills changes	Re-skill employees, plan flexibly
External	Government laws and unions	Limits on hiring and firing	Follow laws, build good union relations

Conclusion: the HR plan should be reviewed regularly because these factors keep changing.

Marking scheme: Introduction 0.5 · internal factors 2 · external factors 2 · responses 0.5

Asked in: Important Questions - Unit 2, Q2 [answer from standard HRM knowledge - no notes PDF for this unit]

Q29. [6 marks] Explain the techniques of forecasting demand for human resources. Which technique is most suitable for a growing firm?

Human Resource Planning · ***

Introduction

Demand forecasting estimates the number and type of employees needed in the future. Both quantitative and judgemental techniques are used.

Techniques

Technique	How it works	Suitability
Managerial judgement	Managers estimate needs of their departments	Quick; good for small firms
Delphi technique	Experts give estimates anonymously in rounds until a consensus emerges	Good where history cannot predict the future
Nominal group technique	Structured group discussion and ranking of ideas	Good for new situations
Work-study technique	Workload divided by output per employee	Where work can be measured
Ratio / trend analysis	Past ratios (sales per employee) are projected	Stable conditions

Most suitable for a growing firm

Delphi technique (with managerial judgement) is most suitable because a growing firm's future differs from its past, so trend analysis cannot predict its needs; expert opinion can.

Marking scheme: Introduction 1 · techniques 3 · suitable technique with reason 2

Asked in: Important Questions - Unit 2, Q3 [answer from standard HRM knowledge - no notes PDF for this unit]

Q30. [2 marks] What is Job Analysis?

Job Analysis · ***

Job analysis is the process of **collecting and analysing information about the tasks, duties, responsibilities and requirements of a job**.

- Its results are written as a **job description** (about the job) and a **job specification** (about the person).
- It is the foundation of recruitment, training, appraisal and pay.

Example: Studying what a bank cashier does each day and the skills needed.

Marking scheme: Definition 1 · two points 0.5 each · example 0.5

Asked in: Important Questions - Unit 2, Q5 [answer from standard HRM knowledge - no notes PDF for this unit]

Q31. [3 marks] Describe the methods of collecting job analysis data.

Job Analysis · ***

Method	How it works	Advantage	Limitation
Observation	Analyst watches the job being done	First-hand facts	Time consuming
Interview	Job holders and supervisors are questioned	Detailed information	May be biased
Questionnaire	Written form filled by employees	Covers many employees	Poor response
Diary method	Job holder records daily activities in a log	Accurate records of what is done	Employees may exaggerate

Marking scheme: Four methods with explanation, 0.75 each

Asked in: Important Questions - Unit 2, Q13 [answer from standard HRM knowledge - no notes PDF for this unit]

Q32. [5 marks] Distinguish between Job Description and Job Specification. Prepare a sample JD and JS for the position of Marketing Executive.

Job Analysis · ***

Difference

Basis	Job description	Job specification
Meaning	A statement of tasks, duties and responsibilities of the job	A statement of qualifications, skills and traits required from the job holder
Concerned with	The job	The person
Contents	Title, duties, reporting, working conditions	Education, experience, skills, personality
Use	Tells what the job is	Helps in selecting the right person

Sample - Marketing Executive

- **Job description:** title - Marketing Executive; reports to Marketing Manager; duties - promote products, meet customers, conduct market surveys and prepare sales reports; working hours and location.
- **Job specification:** BBA/MBA in marketing; 1-2 years' experience; good communication and persuasion skills; basic computer skills; ability to work under targets.

Marking scheme: Difference 3 · sample JD 1 · sample JS 1

Asked in: Important Questions - Unit 2, Q6 [answer from standard HRM knowledge - no notes PDF for this unit]

Q33. [6 marks] "Job analysis is the cornerstone of all HR activities." Do you agree? Justify your answer.

Job Analysis · **

Introduction

Job analysis collects information about each job - its duties, responsibilities and requirements. Almost every HR decision is based on this information.

I agree - justification

HR activity	How job analysis is used
HR planning	Shows what jobs and how many people are needed
Recruitment and selection	Job description and specification define who is wanted

Training	Shows skills required and gaps
Performance appraisal	Sets the standards of performance
Job evaluation and pay	The worth of a job is decided on its duties
Safety and health	Identifies hazards of the job

Conclusion: without accurate job analysis the HR activities would be based on guesswork; hence it is the foundation of HRM.

Marking scheme: Introduction 1 · agree with 4 uses 4 · conclusion 1

Asked in: Important Questions - Unit 2, Q14 [answer from standard HRM knowledge - no notes PDF for this unit]

Q34. [10 marks] What is Job Analysis? Discuss its process, methods and uses. How does it serve as the foundation for other HR functions?

Job Analysis · ***

1. Introduction

A job is a group of tasks and duties. **Job analysis** is the process of collecting and analysing information about the tasks, duties, responsibilities and requirements of a job. It answers: what is done, why, how, where and by whom.

2. Process of job analysis

1. Decide the purpose and the jobs to be analysed.
2. Collect background information (organisation chart, existing job records).
3. Collect job data using suitable methods.
4. Verify the data with job holders and supervisors.
5. Prepare the job description and job specification.
6. Review and update regularly.

3. Methods of collecting data

Method	Meaning
Observation	Watching employees at work
Interview	Questioning job holders and supervisors
Questionnaire	Written forms filled in by employees
Diary method	Employees record their daily activities

4. Uses and foundation of other HR functions

Function	Role of job analysis
Planning	Defines jobs needed
Recruitment and selection	Gives job description and specification
Training and development	Shows skills required
Appraisal	Provides performance standards
Job evaluation and compensation	Basis of the pay structure
Safety	Finds risks of jobs

Example: A bank analyses the job of a loan officer; the resulting JD and JS are used to recruit, train, appraise and pay the officer.

5. Conclusion

Job analysis supplies the facts on which nearly every HR activity rests; hence it is the cornerstone of HRM.

Marking scheme: Introduction 1 · process 2 · methods 2 · uses 3 · example 1 · conclusion 1

Asked in: Important Questions - Unit 2, Q5 [answer from standard HRM knowledge - no notes PDF for this unit]

Q35. [2 marks] Define recruitment.

Recruitment · ***

Recruitment is the process of **searching for and attracting potential candidates** and encouraging them to apply for jobs in the organisation.

- It creates a **pool of applicants** from which the best can be selected.
- It is a positive process, whereas selection is negative (rejecting unsuitable candidates).

Example: Advertising a vacancy in a newspaper and on a job portal.

Marking scheme: Definition 1 · two points 0.5 each · example 0.5

Asked in: Important Questions - Unit 2, Q7 [answer from standard HRM knowledge - no notes PDF for this unit]

Q36. [3 marks] Distinguish between recruitment and selection.

Recruitment · ***

Basis	Recruitment	Selection
Meaning	Searching and attracting candidates	Choosing the best from the applicants
Nature	Positive - encourages applications	Negative - rejects unsuitable persons
Sequence	Comes first	Follows recruitment
Aim	To create a pool of applicants	To select the most suitable candidate

Recruitment generates the pool; selection chooses from it.

Marking scheme: Any three differences 1 each

Asked in: Important Questions - Unit 2, Q9 [answer from standard HRM knowledge - no notes PDF for this unit]

Q37. [5 marks] Define recruitment and discuss the factors affecting it. Explain how internal and external factors shape an organisation's recruitment strategy.

Recruitment · ***

Introduction

Recruitment is the process of searching for and attracting potential candidates to apply for jobs. How a firm recruits depends on several factors.

Type	Factors	Effect on recruitment strategy
Internal	Recruitment policy (promote from within or not), HR plan, size of the firm, cost, reputation of the firm	Decide the sources and the method of recruiting
External	Labour market and unemployment, competitors' pay, economy, labour laws, unions	Decide how much effort and pay is needed to attract people

Example: If unemployment is high, applicants are plentiful and the firm can recruit cheaply; if skills are scarce, it must offer higher pay and use campus drives.

Marking scheme: Definition 1 · internal factors 2 · external factors 2

Asked in: Important Questions - Unit 2, Q7 [answer from standard HRM knowledge - no notes PDF for this unit]

Q38. [6 marks] Compare internal and external sources of recruitment. Discuss the merits and demerits of each with examples.

Recruitment · ***

Introduction

Sources of recruitment are the places from which candidates are found. They are internal (within the firm) and external (outside the firm).

Basis	Internal sources	External sources

Examples	Promotion, transfer, job posting, employee referrals	Campus placement, advertisements, employment exchanges, agencies, walk-ins
Merits	Cheap and fast; boosts morale and loyalty; employee is already known	Fresh ideas and skills; wide choice; no internal rivalry
Demerits	Limited choice; no new ideas; may cause jealousy	Costly and time-consuming; risk of wrong selection; may demotivate existing staff

Example: Promoting a senior clerk to supervisor (internal); hiring a fresh MBA from a campus (external).

Conclusion: most firms use both: internal for continuity and external for fresh talent.

Marking scheme: Introduction 1 · comparison table 3 · examples 1 · conclusion 1

Asked in: Important Questions - Unit 2, Q8 [answer from standard HRM knowledge - no notes PDF for this unit]

Q39. [6 marks] "Internal recruitment boosts morale, but external recruitment brings innovation." Critically evaluate this statement.

Recruitment · **

Introduction

The statement compares the main strength of each source.

Internal recruitment

- **Boosts morale:** employees see a promotion path and feel valued.
- **Cheap and quick;** the candidate's performance is already known.
- **Weakness:** limited choice, no new ideas, possible rivalry.

External recruitment

- **Brings innovation:** new people bring new skills, experience and viewpoints.
- **Weakness:** costly, slow, risk of a poor fit and possible demotivation of insiders.

Evaluation

The statement is broadly true, but not always: an insider may also innovate, and an outsider may lower morale. The best method depends on the post - promote for continuity, hire outside for fresh skills.

Marking scheme: Introduction 1 · internal 1.5 · external 1.5 · evaluation 2

Asked in: Important Questions - Unit 2, Q15 [answer from standard HRM knowledge - no notes PDF for this unit]

Q40. [2 marks] What is selection?

Selection · ***

Selection is the process of **choosing the most suitable candidate** from the pool of applicants created by recruitment, through tests, interviews and checks.

- It rejects unsuitable applicants, so it is a **negative** process.
- It aims to match the candidate with the job requirements.

Example: Out of 500 applicants, 5 are finally appointed after tests and interviews.

Marking scheme: Definition 1 · two points 0.5 each · example 0.5

Asked in: Important Questions - Unit 2, Q9 [answer from standard HRM knowledge - no notes PDF for this unit]

Q41. [3 marks] What are the limitations of interviews as a selection tool? How can they be reduced?

Selection · ***

The interview is the most widely used tool but it has weaknesses.

1. **Subjective judgement:** the interviewer's likes and dislikes affect the result.

2. **Errors like halo effect, bias and first-impression error** reduce fairness.
3. **Inconsistency:** different candidates get different questions.

Remedies: structured questions, trained interviewers, panel interviews and scoring sheets.

Marking scheme: Limitations 2 · remedies 1

Asked in: Important Questions - Unit 2, Q11 [answer from standard HRM knowledge - no notes PDF for this unit]

Q42. [6 marks] Discuss the types of employment tests (aptitude, personality, situational). How do they improve the reliability and validity of selection decisions?

Selection · ***

Introduction

Employment tests are standard tools used to measure a candidate's ability and suitability for the job.

Test	What it measures	Example
Aptitude test	Potential to learn and ability (numerical, verbal, mechanical)	Numerical reasoning test for a bank clerk
Personality test	Traits, attitude and temperament	Questionnaire on teamwork and stress handling
Situational test	Judgement in realistic work situations	Handling an angry customer role play

Reliability and validity

- **Reliability** means consistency: the same candidate gets similar scores when tested again.
- **Validity** means the test really predicts job performance.
- Standard tests remove personal bias and let candidates be compared fairly, so decisions become more reliable and valid.

Marking scheme: Introduction 1 · three tests 3 · reliability and validity 2

Asked in: Important Questions - Unit 2, Q10 [answer from standard HRM knowledge - no notes PDF for this unit]

Q43. [6 marks] Explain the various interviewing techniques. What are the common errors in interviewing and how can they be avoided?

Selection · ***

Introduction

An interview is a formal conversation to judge a candidate's suitability. Different techniques are used for different needs.

Technique	Meaning
Structured	Fixed questions asked in the same order to all candidates
Unstructured	Free-flowing conversation with no set questions
Panel	A group of interviewers questions one candidate
Behavioural	Questions about past behaviour in real situations
Stress	Deliberate pressure to test composure
Telephonic / video	Interview conducted remotely

Common errors and remedies

Error	Meaning	Remedy
Halo effect	One good trait influences the whole rating	Rate each trait separately
Horns effect	One bad trait lowers the whole rating	Use structured criteria
Bias and stereotyping	Judging by gender, looks or background	Train interviewers; panel interviews

Poor listening / first impression	Decision made early	Standard questions; evaluate after the interview

Marking scheme: Introduction 0.5 · techniques 3 · errors and remedies 2.5

Asked in: Important Questions - Unit 2, Q11 [answer from standard HRM knowledge - no notes PDF for this unit]

Q44. [10 marks] Explain the selection process in detail. Describe each stage, from application screening to the final job offer.

Selection · ***

1. Introduction

Selection is the process of choosing the most suitable candidate from the applicants. It consists of a series of steps, each of which removes unsuitable candidates, so that cost is spent only on promising ones.

2. Stages of the selection process

1. **Application screening:** applications are checked against the job specification; those not meeting minimum qualifications are rejected.
2. **Employment tests:** aptitude, personality and situational tests measure ability, traits and judgement.
3. **Interview:** face-to-face discussion to judge communication, attitude and suitability.
4. **Reference and background check:** past employers and referees confirm the candidate's record.
5. **Medical examination:** checks physical fitness for the job.
6. **Final selection and job offer:** the best candidate is chosen and given an offer letter stating post, pay and terms.
7. **Placement and induction:** the person joins and is oriented to the organisation.

3. Flow

Stage	Purpose	Candidates remaining
Screening	Remove unqualified	Many
Tests	Measure ability	Fewer
Interview	Judge suitability	Few
Checks and medical	Verify	Very few
Offer	Final choice	One or more

Example: A bank receives 2,000 applications for 20 posts: screening leaves 500, the written test 100, the interview 30 and the final offer goes to 20.

4. Conclusion

A careful multi-stage process gives the organisation the right person, reduces turnover and saves training cost.

Marking scheme: Introduction 1 · six stages 5 · flow/table 1.5 · example 1 · conclusion 1.5

Asked in: Important Questions - Unit 2, Q9 [answer from standard HRM knowledge - no notes PDF for this unit]

Unit III

Q45. [2 marks] What is career management? Define career path.

Career Management · ***

Career management is the **continuous process of preparing, implementing and monitoring career plans**. It can be done by the employee alone or together with the organisation.

A **career path** is the series of positions through which an individual can be promoted, transferred or rotated.

Example: HR Executive → Senior HR Executive → HR Manager → HR Director.

Marking scheme: Career management 1 · career path 0.5 · example 0.5

Asked in: Important Questions - Unit 3, Q8

Q46. [5 marks] Define career planning and career development. Explain their objectives and importance for employees and organisations.

Career Management · ***

Introduction

Career planning is the process by which an individual identifies his career goals and the path to reach them. **Career development** is the process of systematically linking an individual's career needs with the organisation's workforce requirements.

Objectives

- Match individual aspirations with organisational opportunities.
- Retain and develop talented people.
- Prepare employees for future roles.

Importance

For employees	For the organisation
Clear goals and direction	A skilled and committed workforce
Growth, promotion and satisfaction	Lower turnover
Better use of strengths	A supply of future leaders

Marking scheme: Definitions 1.5 · objectives 1.5 · importance 2

Asked in: Important Questions - Unit 3, Q8

Q47. [6 marks] Distinguish between individual career management and organisational career management. Discuss the responsibilities of the individual, the manager and the organisation.

Career Management · ***

Difference

Basis	Individual career management	Organisational career management
Focus	The person's own goals and needs	The organisation's workforce needs
Done by	The employee through self-assessment and planning	The organisation through planned career moves and programmes
Aim	Personal growth and satisfaction	A supply of skilled people for the firm

Responsibilities

Party	Responsibility
Individual	Self-assessment of aspirations and needs, setting goals, developing skills
Manager	Feedback, coaching, discussing career plans, supporting development
Organisation	Providing opportunities, training, career paths and information

Marking scheme: Difference 3 · responsibilities 3

Asked in: Important Questions - Unit 3, Q10

Q48. [2 marks] Define performance appraisal.

Performance Appraisal · ***

Performance appraisal is a process of **evaluating an employee's performance of a job in terms of its requirements**. According to Beach, it is the systematic evaluation of the performance of an individual on the job and also his or her **potential for development**.

- It is systematic, objective, periodic and planned.
- Its results are used for pay, promotion and training decisions.

Example: A yearly review of a salesperson's targets and achievements.

Marking scheme: Definition 1 · two points 0.5 each · example 0.5

Asked in: Important Questions - Unit 3, Q5 · Unit 3 Performance Appraisal slides

Q49. [3 marks] Explain the objectives of performance appraisal.

Performance Appraisal · ***

Performance appraisal serves several purposes for both employees and the organisation.

1. **Compensation and promotion decisions:** pay rises, bonus and promotions are based on performance.
2. **Training and development:** weak areas show who needs training.
3. **Feedback and personal development:** employees learn how they are doing and how to improve.

It also helps in placement, motivation and manpower planning.

Marking scheme: Three objectives with explanation 2.5 · other points 0.5

Asked in: Important Questions - Unit 3, Q5 · Unit 3 Performance Appraisal slides

Q50. [3 marks] Write short notes on: (a) BARS (b) MBO (c) 360-degree appraisal.

Performance Appraisal · ***

1. **BARS (Behaviourally Anchored Rating Scale):** combines a rating scale with the critical incident idea. Each point on the numerical scale (5 Outstanding, 4 Very Good, 3 Satisfactory, 2 Needs Improvement, 1 Poor) is described by an example of behaviour.
2. **MBO (Management by Objectives):** also called appraisal by results. Employee and manager jointly set specific goals (SMART - Specific, Measurable, Achievable, Result-oriented, Time-bound) and performance is measured against them. It grew from the work of Drucker and McGregor.
3. **360-degree appraisal:** the employee is rated by superiors, subordinates and peers (and sometimes customers); multiple raters improve accuracy.

Marking scheme: 1 mark for each note

Asked in: · Unit 3 Performance Appraisal slides

Q51. [5 marks] Explain the process of performance appraisal.

Performance Appraisal · ***

Introduction

Performance appraisal is carried out in a series of steps.

1. **Establishing performance standards** - the first step: what is expected from each job.
2. **Communicating standards** and expectations to the employees.
3. **Measuring actual performance** - by observation, reports and records.
4. **Comparing actual performance with standards.**
5. **Discussing the results** with the employee - giving feedback.
6. **Decision making and corrective action** - the last step: pay rise, promotion, training or other action.

Conclusion: measuring comes before comparing, and decisions follow the discussion.

Marking scheme: Introduction 0.5 · six steps 4 · conclusion 0.5

Asked in: · Unit 3 Performance Appraisal slides

Q52. [5 marks] What are the challenges of performance appraisal and how can they be overcome?

Performance Appraisal · **

Challenges

- **Biases of raters** such as halo, horns, leniency and central tendency.
- **Infrequent feedback:** in annual reviews employees come to know about problems only when it is too late for correction.
- **Unclear criteria** and lack of acceptance by employees.

Ways to overcome

- Promote **two-way dialogue and regular check-ins** instead of one annual review.
- Train appraisers.
- Set clear KPIs and share the criteria.
- Use technology and 360-degree feedback.

Marking scheme: Challenges 2.5 · remedies 2.5

Asked in: · Unit 3 Performance Appraisal slides

Q53. [6 marks] Define performance appraisal and explain its concept and objectives. Why is it an important tool of HRM?

Performance Appraisal · ***

Introduction

Performance appraisal is a process of evaluating an employee's performance of a job in terms of its requirements. Beach: the systematic evaluation of the performance of an individual on the job and also his or her potential for development.

Concept

- Systematic and planned - not casual opinion.
- Objective - based on set standards.
- Periodic - done at regular intervals.
- It judges both present performance and future potential.

Objectives

- Compensation and promotion decisions.
- Training needs.
- Feedback and personal development.

Importance

It links employee efforts to organisational goals, motivates people through feedback and gives facts for most HR decisions - pay, promotion, transfer, training and career planning.

Marking scheme: Definition 1.5 · concept 1.5 · objectives 1.5 · importance 1.5

Asked in: Important Questions - Unit 3, Q5 · Unit 3 Performance Appraisal slides

Q54. [6 marks] Discuss the common biases in performance appraisal. How can an organisation minimise them?

Performance Appraisal · ***

Introduction

Appraisal is done by people, so judgement errors (biases) may enter and make the result unfair.

Bias	Meaning	Example
Halo effect	One strong trait inflates the ratings on all traits	A punctual employee is rated high on everything
Horns effect	One weak trait lowers all ratings	One mistake colours the whole rating
Leniency bias	Rating higher than deserved	Giving all employees high scores
Strictness bias	Rating lower than deserved	Giving low scores to avoid raises
Central tendency	Rating everyone around the average to avoid hard talks	All employees rated 3
Recency effect	Judging only on recent events	Last month's performance only

How to minimise

- Train the appraisers.

- Set clear, objective criteria and KPIs.
- Give regular feedback and promote two-way dialogue, not once-a-year reviews.
- Use technology and 360-degree feedback.

Marking scheme: Introduction 0.5 · biases 3 · remedies 2.5

Asked in: Important Questions - Unit 3, Q7 · Unit 3 Performance Appraisal slides

Q55. [10 marks] Distinguish between traditional and modern methods of performance appraisal.

Performance Appraisal · ***

1. Introduction

Methods of appraisal are classified as traditional (older, trait-based, supervisor judgement) and modern (results- and development-oriented, with wider participation).

2. Traditional methods

Method	Meaning
Straight ranking	Employees are ranked from best to worst
Paired comparison	Each employee is compared with every other, one trait at a time
Forced distribution	Employees are fitted into set categories such as outstanding, above average, average, below average, poor
Critical incident	Dated records of specific positive and negative incidents
Field review	A trained HR person in the field supports line managers in rating
Group appraisal	A panel evaluates the employee
Others	Grading scale, checklist, essay, confidential reports, performance tests

3. Modern methods

Method	Meaning
Assessment centre	Participants perform tasks in simulated environments and assessors rate them; first used in the German Army in 1930
MBO (appraisal by results)	Employee and manager set SMART goals jointly (Drucker, McGregor); performance is judged against them
360-degree appraisal	Superiors, subordinates and peers rate the employee
BARS	Behaviourally Anchored Rating Scale: numerical scale (5 Outstanding to 1 Poor) anchored to behaviour examples
Human asset accounting	Values people as assets in money terms

4. Distinction

Basis	Traditional	Modern
Focus	Personal traits and past performance	Results, behaviour and development
Rater	Usually the supervisor	Several raters
Objectivity	More subjective	More objective
Cost	Low	Higher

5. Conclusion

Traditional methods are simple but subjective; modern methods are more objective and development-oriented but costlier. A mix suits most organisations.

Marking scheme: Introduction 1 · traditional 2.5 · modern 2.5 · distinction 3 · conclusion 1

Asked in: Important Questions - Unit 3, Q6 · Unit 3 Performance Appraisal slides

Q56. [2 marks] What is succession planning?

Succession Planning · ***

Succession planning is the process of **identifying, evaluating, developing and tracking high-potential employees** for future leadership roles.

- It prepares replacements in advance so that the business runs smoothly when key people leave.
- It is part of strategic HR planning.

Example: A company grooms a general manager to become the next director.

Marking scheme: Definition 1 · two points 0.5 each · example 0.5

Asked in: Important Questions - Unit 3, Q9

Q57. [3 marks] Explain the types of succession planning.

Succession Planning · ***

1. **Strategic leadership development:** a long-term plan that prepares future leaders over several years.
2. **Departure-defined succession planning:** started only when a key employee leaves or is about to leave.
3. **Emergency / interim succession planning:** a short-term arrangement that temporarily assigns a replacement when a key person is suddenly unavailable, so that important responsibilities continue.

Marking scheme: Three types 1 each

Asked in: Important Questions - Unit 3, Q9

Q58. [5 marks] Explain the benefits and challenges of succession planning.

Succession Planning · ***

Benefits

- **Leadership continuity** when key managers retire or resign.
- **Retention and motivation** - employees see growth opportunities.
- **Smooth running** of the business and reduced disruption.
- **Reduced cost and time** of finding a replacement in an emergency.

Challenges

- Resistance to change and lack of employee buy-in.
- Limited resources.
- Inadequate planning and incomplete information.

Marking scheme: Benefits 3 · challenges 2

Asked in: Important Questions - Unit 3, Q9

Q59. [10 marks] What is succession planning? Explain its process, objectives and benefits. How does it ensure leadership continuity in an organisation?

Succession Planning · ***

1. Introduction

Succession planning is the process of identifying, evaluating, developing and tracking high-potential employees for future leadership roles. It helps a company to run smoothly when key people leave.

2. Process (steps)

1. Identify which **positions** are included in the plan.
2. Identify the **employees** who can fill them.
3. Set **standards** (competencies) for the positions.
4. Assess the **potential** of employees.
5. **Review** the process.
6. Link the plan with **HR systems** (training, appraisal, pay).
7. Give **feedback** to employees.
8. **Measure the effectiveness** of the plan.

3. Objectives

- Ensure leadership continuity.
- Build a pool of ready talent.
- Retain and motivate high performers.

4. Types

- Strategic leadership development, departure-defined and emergency / interim succession planning.

5. Benefits and challenges

Benefits	Challenges
Continuity of leadership	Lack of employee buy-in
Lower hiring cost and risk	Limited resources
Higher morale and retention	Inadequate planning and incomplete information

Example: A bank identifies 10 branch managers as future regional heads, trains them and rotates them so that any can take charge when the regional head retires.

6. Conclusion

Succession planning keeps a pipeline of ready leaders, ensuring that the organisation is never left without leadership.

Marking scheme: Introduction 1 · process 3 · objectives 1 · types and benefits 2 · example 1 · conclusion 1 · challenges 1

Asked in: Important Questions - Unit 3, Q9

Q60. [2 marks] Define training and development.

Training & Development · ***

Training is a planned effort to improve an employee's knowledge, skills and attitude for the **present job**. **Development** is the long-term growth of employees to prepare them for **future roles and responsibilities**.

- Training is short term and job-specific; development is long term and career oriented.
- Both raise performance and prepare employees for change.

Example: Teaching a cashier to use new billing software (training); preparing a manager for the director's post (development).

Marking scheme: Both definitions 1.5 · example 0.5

Asked in: Important Questions - Unit 3, Q1

Q61. [3 marks] Distinguish between training and development.

Training & Development · ***

Basis	Training	Development
Meaning	Improving skills for the present job	Growth for future positions
Time period	Short term	Long term
Focus	Job-specific skills	Overall growth and career
Who	Mostly workers and operatives	Mostly managers

Training improves present performance; development prepares for future roles.

Marking scheme: Three differences 1 each

Asked in: Important Questions - Unit 3, Q1

Q62. [6 marks] Define training and development. Explain their need and importance for employees and organisations in a competitive environment.

Training & Development · ***

Introduction

In a competitive environment skilled and adaptable employees decide success. **Training** improves skills for the present job (short term); **development** prepares people for future roles (long term).

Need

- Rapid change in technology and job requirements.
- Gap between required and actual performance.
- New employees need induction and skills.

Importance

For employees	For the organisation
Better skills and confidence	Higher productivity and quality
Career growth and promotion	Lower turnover and absenteeism
Job security and satisfaction	Competitive advantage and flexibility
Fewer mistakes and accidents	Better customer service

Marking scheme: Definitions 2 · need 1.5 · importance 2.5

Asked in: Important Questions - Unit 3, Q1

Q63. [6 marks] Explain the process of identifying training needs. Discuss the three levels of analysis with suitable examples.

Training & Development · ***

Introduction

A **training need** is the gap between the required and the actual performance. Needs are identified through analysis at three levels.

Level	What is studied	Example
Organisational analysis	Organisation's goals, resources and climate - where is training needed?	The firm adopts a new software, so staff need training
Task (job) analysis	Knowledge and skills required to perform the job	A cashier needs billing-system skills
Person analysis	Which employees need training and what type, based on appraisal results	An executive with low sales scores needs selling skills

Process

1. Study the organisation's goals and plans.
2. Analyse the job and the skills required.
3. Assess employees' performance gaps.
4. Prepare the training plan.

Marking scheme: Introduction 1 · three levels with examples 4 · process 1

Asked in: Important Questions - Unit 3, Q2

Q64. [10 marks] Discuss the various on-the-job and off-the-job training techniques. Compare them and discuss their merits and demerits.

Training & Development · ***

1. Introduction

Training methods are broadly classified into **on-the-job** (given at the workplace while working) and **off-the-job** (given away from the actual work).

2. On-the-job methods

- **Coaching:** learning from a supervisor or mentor at the workplace.
- **Job rotation:** moving the employee through different jobs to widen skills.
- **Apprenticeship:** learning a skill under an experienced person for a long period.
- **Understudy:** training a person to take over the superior's job.

3. Off-the-job methods

- **Lectures:** classroom or seminar teaching.
- **Case study:** discussion of real business situations.
- **Role playing:** acting out situations.
- **Simulation / vestibule training:** a replica of the workplace away from production lets trainees practise without disturbing production.

4. Comparison

Basis	On-the-job	Off-the-job
Place	At the workplace	Away from work
Merits	Practical and low cost; learning by doing	Controlled learning; no disturbance to production; theory and concepts
Demerits	A poor trainer or disturbance to production may affect learning	May be costly and lacks real work conditions
Suitable for	Practical skills	Conceptual and technical knowledge

Example: A bank trains a new clerk by job rotation (on the job) and sends the officer to a classroom case-study workshop (off the job).

5. Conclusion

A combination of both methods gives the best results because it joins practice with theory.

Marking scheme: Introduction 1 · on-the-job 2 · off-the-job 2 · comparison 3 · example 1 · conclusion 1

Asked in: Important Questions - Unit 3, Q3

Q65. [5 marks] How is the effectiveness of training evaluated? Explain various training evaluation models.

Training Evaluation · ***

Introduction

Training evaluation measures **whether training achieved its objectives** and whether the cost was worth it. The best-known model is **Kirkpatrick's four-level model**.

Level	Measures	Method
1. Reaction	Trainees' satisfaction with the programme	Feedback forms
2. Learning	Knowledge and skills gained	Tests before and after
3. Behaviour	Whether trainees use the learning on the job	Supervisor observation
4. Results	Impact on organisational results (productivity, quality, cost)	Performance data

Conclusion: evaluation at all four levels shows if training is useful and where to improve it.

Marking scheme: Introduction 1 · four levels 3.5 · conclusion 0.5

Asked in: Important Questions - Unit 3, Q4

Unit IV

Q66. [2 marks] Define collective bargaining.

Collective Bargaining · ***

Collective bargaining is a process in which **management and employee representatives meet and negotiate** the terms and conditions of employment.

- It is a group action: both sides act as a group, not as individuals.

- It is voluntary and bipartite (only the two parties take part).

Marking scheme: Definition 1 · two points 0.5 each

Asked in: Important Questions - Unit 4, Q9 · Notes of Unit - 4

Q67. [3 marks] State the characteristics of collective bargaining.

Collective Bargaining · ***

1. **Collective and bipartite:** only management and workers' representatives participate, without third-party intervention.
2. **Flexible, dynamic and continuous:** it is not a rigid one-time event; terms keep being renegotiated.
3. **Two-way and voluntary:** both sides give and take, and it ensures industrial democracy.

Marking scheme: Three characteristics 1 each

Asked in: Important Questions - Unit 4, Q9 · Notes of Unit - 4

Q68. [6 marks] Explain collective bargaining and discuss its process. How does it help in resolving conflicts between management and workers?

Collective Bargaining · ***

Introduction

Collective bargaining is a process in which management and employee representatives negotiate the terms and conditions of employment. It is voluntary, bipartite, flexible and continuous.

Process

1. **Pre-negotiation preparation** - collecting data and fixing demands; the notes say that about 83% of the bargaining outcome is influenced by this stage.
2. **Negotiation** - on wages, supplementary benefits (pension, gratuity, health insurance) and administrative issues (seniority, grievance).
3. **Agreement** - the terms are written down.
4. **Ratification** - approval by members, because the negotiators may not have the ultimate authority to decide.
5. **Administration** - the HR manager runs the agreement day to day; signing is the beginning of implementation, not the end.

How it helps

It settles issues peacefully across the table, builds mutual understanding, prevents strikes and lockouts, and ensures industrial democracy.

Marking scheme: Introduction 1 · process 3.5 · how it helps 1.5

Asked in: Important Questions - Unit 4, Q9 · Notes of Unit - 4

Q69. [2 marks] Define employee compensation.

Compensation · ***

Compensation is the **total reward received by an employee in exchange for the services performed** for the organisation.

- **Direct compensation:** salary, wages, bonus and incentives.
- **Indirect compensation:** benefits such as insurance, paid leave and pension.

Example: A salary of Rs 30,000 plus medical insurance and annual bonus.

Marking scheme: Definition 1 · two points 0.5 each · example 0.5

Asked in: Important Questions - Unit 4, Q3 · Notes of Unit - 4

Q70. [3 marks] Explain the objectives of a compensation system.

Compensation · ***

1. **Attract and retain** high-quality employees by offering competitive pay.

2. **Ensure adequate role behaviour:** pay should make employees perform their assigned duties.
3. **Motivate extra-role behaviour:** incentives encourage employees to do more than required.

A good system is fair, legal and affordable.

Marking scheme: Three objectives 1 each

Asked in: Important Questions - Unit 4, Q3 · Notes of Unit - 4

Q71. [3 marks] Explain pay level, pay structure and pay form.

Compensation · ***

Term	Meaning
Pay level	The relative amount of pay assigned to each job compared with the job market
Pay structure	The relative pay differential among various jobs within the organisation
Pay form	The makeup of pay - guaranteed versus at-risk (variable) pay

Example: Offering a clerk Rs 20,000 where the market rate is Rs 22,000 shows a lower pay level.

Marking scheme: Three terms 1 each

Asked in: · Notes of Unit - 4

Q72. [3 marks] Distinguish between defined contribution plans and termination benefits.

Compensation · **

Basis	Defined contribution plan	Termination benefits
Meaning	A post-employment plan where the enterprise pays fixed contributions into a separate fund	Benefits payable on early termination or voluntary retirement
Obligation	No further obligation if the fund is insufficient	Arises due to the decision to terminate
Example	Provident fund contribution	Voluntary retirement compensation

Vested employee benefits are benefits already earned that do not depend on future employment.

Marking scheme: Three differences 1 each

Asked in: · Notes of Unit - 4

Q73. [5 marks] Explain the various incentive plans: piece rate, standard hour plan, profit sharing and gainsharing.

Compensation · ***

Introduction

Incentive plans link a part of pay with performance to motivate employees.

Plan	Meaning	Example
Piece rate	An individual incentive plan under which pay depends on the number of units produced	Rs 5 for each unit stitched
Standard hour plan	Employee is paid the hourly rate for the standard time of a task, regardless of the actual time taken	Standard 1.5 h at Rs 40/h = Rs 60 whether it takes 1 or 3 hours
Profit sharing	An annual bonus from a pool based on the overall profitability of the company	Year-end profit bonus
Gainsharing	Bonus based on productivity, comparing labour cost with the value of output; savings are split between employees and the company	Bonus for lower labour cost per unit

Note: a bonus is a lump sum for a specific objective and does not become part of the base pay, whereas merit pay does.

Marking scheme: Introduction 0.5 · four plans 4 · note 0.5

Asked in: · Notes of Unit - 4

Q74. [6 marks] Define employee compensation and explain its objectives. Discuss the components: base pay, incentives and fringe benefits.

Compensation · ***

Introduction

Compensation is the total reward received by an employee in exchange for services. It includes direct pay (salary and wages) and indirect pay (benefits).

Objectives

- Attract and retain good employees.
- Ensure adequate role behaviour.
- Motivate extra-role behaviour.

Components

Component	Meaning	Examples
Base (guaranteed) pay	Fixed monetary reward based on the employer-employee relationship	Basic salary, wages
Incentives (variable pay)	Pay linked to performance, results or discretion	Bonus, sales incentive, piece rate, profit sharing, gainsharing
Fringe benefits	Non-cash benefits that supplement pay	Medical insurance, paid time off, company car
Equity-based pay	Rewards through the employer's shares	Stock options

Marking scheme: Definition 1 · objectives 1.5 · components 3.5

Asked in: Important Questions - Unit 4, Q3 · Notes of Unit - 4

Q75. [2 marks] What is a grievance?

Grievance · ***

A **grievance** is **any dissatisfaction or feeling of injustice in connection with one's employment** that is brought to the attention of management.

- It may be valid or not, expressed or not.
- The National Commission on Labour said complaints on wage payment, overtime, leave, transfer, promotion, seniority, work assignment and discharge constitute grievances.

Marking scheme: Definition 1 · two points 0.5 each

Asked in: Important Questions - Unit 4, Q10 · Notes of Unit - 4

Q76. [3 marks] Explain the causes of employee grievances.

Grievance · ***

Cause	Examples
Management policy	Wage payment, leave, overtime, seniority, transfer, disciplinary action
Working conditions	Improper matching of worker with the job, poor environment
Personal reasons	Over-ambition, excessive self-esteem (the employee's attitude)

Marking scheme: Three causes 1 each

Asked in: Important Questions - Unit 4, Q10 · Notes of Unit - 4

Q77. [3 marks] What are the essentials of an effective grievance procedure?

Grievance · **

1. **Legal sanctity:** the procedure must conform to the law.
2. **Acceptability and simplicity:** it must be accepted by all and be simple to use.
3. **Promptness:** grievances must be settled quickly, within fixed time limits, with a right to appeal.

Marking scheme: Three essentials 1 each

Asked in: · Notes of Unit - 4

Q78. [6 marks] Explain the causes of employee grievances and how they can be redressed.

Grievance · ***

Introduction

A grievance is any dissatisfaction or feeling of injustice about one's employment that is brought to the notice of management.

Causes

- **Management policy** - wages, leave, overtime, seniority, transfer.
- **Working conditions** - improper matching of worker with the job.
- **Personal reasons** - over-ambition and excessive self-esteem.

Redressal - Model Grievance Procedure

Step	Time limit
Officer designated by management gives his reply	48 hours
Head of the department	3 days
Grievance committee recommendation	7 days
Manager's decision	3 days
Revision petition	7 days
If still unsatisfied	Voluntary arbitration (final step)

A grievance should first be dealt with at the lowest level, by the immediate superior, so that it is settled on the spot. The Code of Discipline adopted by the Indian Labour Conference in 1957 advised a mutually agreed grievance procedure.

Marking scheme: Introduction 0.5 · causes 1.5 · procedure 3 · note 1

Asked in: Important Questions - Unit 4, Q10 · Notes of Unit - 4

Q79. [2 marks] What is an industrial dispute? Name its causes.

Industrial Disputes · ***

An **industrial dispute** is a conflict or difference between management and workers (or among workers) over employment terms, wages or conditions.

- **Causes:** wages and allowances, bonus, working conditions.
- Retrenchment, lay-off, victimisation and indiscipline.

Marking scheme: Definition 1 · causes 1

Asked in: Important Questions - Unit 4, Q8 · Notes of Unit - 4

Q80. [3 marks] Distinguish between strike and lockout.

Industrial Disputes · ***

Basis	Strike	Lockout
Meaning	Quitting of work by a group of workers to press demands	Employer closes the place of work to pressure workers
By whom	Workers	Employer
Types	Economic, sympathetic, sit-down, slow-down, hunger	Total or partial closure

In a sit-down strike workers stay at the workplace but do not work.

Marking scheme: Three differences 1 each

Asked in: · Notes of Unit - 4

Q81. [3 marks] Explain gherao, picketing, lay-off and retrenchment.

Industrial Disputes · ***

Term	Meaning
Gherao	Preventing members of management from leaving the premises by blocking exits with human barricades
Picketing	Stationing persons at the factory gate to dissuade workers from reporting for work
Lay-off	Temporarily setting aside workmen for a period no longer than the emergency
Retrenchment	Permanent discharge of surplus labour by the employer for any reason

Marking scheme: Four terms, 0.75 each

Asked in: · Notes of Unit - 4

Q82. [10 marks] What are industrial disputes? Explain their causes, forms and the machinery for settlement.

Industrial Disputes · ***

1. Introduction

An **industrial dispute** is a conflict between management and workers over terms and conditions of employment. Disputes of **interest** concern new claims and demands; disputes of **right** concern the application or interpretation of an existing agreement.

2. Causes

Type	Causes
Economic	Wages and allowances, bonus, working conditions
Managerial	Retrenchment, lay-off, victimisation, indiscipline
Other	Recognition of unions, interpretation of agreements

3. Forms of industrial action

Form	Meaning
Strike	Workers quit work to press demands - economic, sympathetic, sit-down, slow-down, hunger
Lockout	Employer closes the workplace
Gherao	Management confined by a human barricade
Picketing	People stationed at the gate to stop workers entering
Retrenchment	Permanent discharge of surplus staff
Lay-off	Temporary setting aside of workmen

4. Machinery for settlement

Method	Nature
Conciliation	A third party helps both sides reach settlement but cannot impose a decision
Arbitration	A neutral arbitrator gives a binding award (voluntary, by mutual consent)
Adjudication	Labour courts and industrial tribunals decide; compulsory and binding

Example: If workers and management disagree on bonus, a conciliation officer first tries to settle; failing which the matter may go to a tribunal.

5. Conclusion

Prevention through good communication, grievance procedure and collective bargaining is better than settlement of disputes.

Marking scheme: Introduction 1 · causes 2 · forms 3 · machinery 2.5 · example 0.5 · conclusion 1

Asked in: Important Questions - Unit 4, Q8 · Notes of Unit - 4

Q83. [2 marks] Define Industrial Relations.

Industrial Relations · ***

Industrial relations describe the relationship between **management and employees and their organisations** (Dale Yoder). According to Dunlop, industrial relations are the complex of interrelations among managers, workers and agencies of government.

- The parties are employees, employers, trade unions, employers' associations, government, courts and tribunals.

Marking scheme: Definition 1 · parties 1

Asked in: Important Questions - Unit 4, Q7 · Notes of Unit - 4

Q84. [3 marks] Explain the scope of industrial relations.

Industrial Relations · ***

1. **Collective bargaining** and **workers' participation in management**.
2. **Industrial disputes**, their prevention and the machinery for settlement.
3. **Grievance handling and discipline**, and **labour legislation**.

Parties to IR include employees, employers, trade unions, employers' associations, government, courts and tribunals.

Marking scheme: Three points 1 each

Asked in: Important Questions - Unit 4, Q7 · Notes of Unit - 4

Q85. [6 marks] Discuss the role of the government, trade unions and management in maintaining healthy industrial relations.

Industrial Relations · ***

Introduction

Healthy industrial relations need the cooperation of the government, trade unions and management.

Party	Role
Government	Makes labour laws (Trade Unions Act, 1926; Industrial Disputes Act; Minimum Wages Act, 1948), provides conciliation, arbitration and adjudication, appoints wage boards
Trade unions	Represent workers, bargain collectively, protect workers' rights and maintain discipline among members
Management	Fair pay and conditions, a grievance procedure, communication and workers' participation

Conclusion: when all three play their roles responsibly, disputes are reduced and productivity improves.

Marking scheme: Introduction 0.5 · three roles 4.5 · conclusion 1

Asked in: Important Questions - Unit 4, Q11 · Notes of Unit - 4

Q86. [10 marks] Define Industrial Relations. Discuss its concept, objectives and importance for industrial peace and productivity.

Industrial Relations · ***

1. Introduction

Industrial relations (IR) describe the relationship between management and employees and their organisations. Dunlop defines them as the complex of interrelations among managers, workers and agencies of government.

2. Concept

- IR arises because industrial societies need managers, workers and governments to deal with one another.
- It covers both individual and collective relations in industry.

3. Parties

- Employees and trade unions, employers and employers' associations, government, courts and tribunals.

4. Scope

- Collective bargaining, workers' participation, disputes and their machinery, grievances and discipline, labour legislation.

5. Objectives

- Maintain harmonious relations between management and workers.
- Prevent and settle industrial disputes.
- Protect the interests of both sides and promote industrial democracy.

6. Importance for industrial peace and productivity

Importance	Explanation
Industrial peace	Fewer strikes, lockouts and gheraos
Higher productivity	Cooperative workers produce more
Protection of interests	Fair deal for management and labour
Industrial democracy	Workers' voice in decisions

7. Conclusion

Good industrial relations are the base of industrial peace and growth.

Marking scheme: Introduction 1 · concept and parties 2 · scope 1.5 · objectives 1.5 · importance 3 · conclusion 1

Asked in: Important Questions - Unit 4, Q7 · Notes of Unit - 4

Q87. [2 marks] What is job evaluation?

Job Evaluation · ***

Job evaluation is a systematic way of determining the **value or worth of a job in relation to other jobs** in the organisation.

- It starts from job analysis (job descriptions).
- Its aim is a rational and fair pay structure.

Example: Rating the jobs of clerk, accountant and manager to decide their relative pay.

Marking scheme: Definition 1 · two points 0.5 each · example 0.5

Asked in: Important Questions - Unit 4, Q1 · Notes of Unit - 4

Q88. [3 marks] Distinguish between job analysis and job evaluation.

Job Evaluation · ***

Basis	Job analysis	Job evaluation
Meaning	Gathers information about a job	Determines the worth of a job
Output	Job description and specification	Grading / pay rate of the job
Sequence	Comes first	Follows job analysis

Job analysis collects facts; job evaluation uses them to value the job.

Marking scheme: Three differences 1 each

Asked in: Important Questions - Unit 4, Q1 · Notes of Unit - 4

Q89. [5 marks] Explain the objectives of job evaluation.

Job Evaluation · ***

Introduction

Job evaluation rates jobs so that employees receive fair pay according to the importance of their jobs.

1. **Fair wage differentials** between jobs.
2. **Eliminate inequities** in pay and reduce discrimination on the basis of age, gender and caste.
3. **Consistent wage policy** throughout the organisation.
4. **Basis for incentives** and wage negotiation with unions.
5. **Control payroll cost** by paying jobs only what they are worth.

Marking scheme: Introduction 0.5 · five objectives 4 · explanation 0.5

Asked in: Important Questions - Unit 4, Q1 · Notes of Unit - 4

Q90. [10 marks] What is job evaluation? Explain its objectives, process and importance. How does it help in designing a fair pay structure?

Job Evaluation · ***

1. Introduction

Job evaluation is a systematic way of determining the value or worth of a job in relation to other jobs. Every method needs at least some basic job analysis. It aims at a rational pay structure.

2. Objectives

- Determine equitable wage differentials between jobs.
- Eliminate inequities and reduce discrimination.
- Consistent wage policy, basis for incentives and support in negotiations.
- Control payroll cost.

3. Process

1. Gain acceptance of the programme from employees and unions.
2. Form a job evaluation committee of experienced employees, union representatives and HR experts (one person cannot evaluate all key jobs).
3. Identify the jobs to be evaluated.
4. Analyse jobs and prepare job descriptions.
5. Select the method of evaluation.
6. Classify the jobs.
7. Convert the ratings into pay rates.

4. Importance

- Gives employees confidence that pay is fair.
- Reduces disputes and wage complaints.
- Helps hiring at the right pay.

5. Fair pay structure

Jobs of equal worth get equal pay and jobs of higher worth get higher pay. Thus the pay structure is based on the demands of the job and not on personal likes.

Example: If a supervisor's job scores 300 points and a clerk's 150, the supervisor's grade carries a higher pay band.

6. Conclusion

Job evaluation links pay to job worth and provides a fair, defensible base for compensation.

Marking scheme: Introduction 1 · objectives 2 · process 3 · importance 1 · pay structure 2 · conclusion 1

Asked in: Important Questions - Unit 4, Q1 · Notes of Unit - 4

Q91. [10 marks] Explain the methods of job evaluation. Discuss the merits and demerits of each.

Job Evaluation · ***

1. Introduction

Job evaluation methods are of two types: non-analytical (the job is considered as a whole - ranking and classification) and analytical (the job is broken into factors - point and factor comparison).

2. Ranking method

Jobs are arranged from the highest to the lowest in value as a whole. **Merits:** simplest and quickest. **Demerits:** subjective and difficult in large organisations; suited only to small firms.

3. Classification method

Jobs are assigned to predetermined job classes or grades (e.g. executives, skilled, semi-skilled, unskilled). **Merits:** simple; suits many jobs. **Demerits:** grade definitions are difficult and jobs may be forced into a wrong grade.

4. Factor comparison method

Jobs are ranked factor by factor (mental effort, physical effort, skill, responsibility) against 15-20 key jobs that represent wage levels, and money is assigned to each factor. **Merits:** consistent. **Demerits:** the most complex method.

5. Point method

Jobs are expressed in terms of key factors (skill, responsibility, effort) with sub-factors and points; the points are added and later converted to money. **Merits:** widely used, systematic, less subjective. **Demerits:** time consuming and costly to design.

6. Summary

Method	Basis	Best for
Ranking	Job as whole	Small firms
Classification	Grades	Large groups of similar jobs
Factor comparison	Factors with money	Where consistency is needed
Point	Factors with points	Most organisations

7. Conclusion

The choice depends on the size and complexity of the organisation; the point method is the most widely used today.

Marking scheme: Introduction 1 · four methods with merit/demerit 6 · summary 2 · conclusion 1

Asked in: Important Questions - Unit 4, Q2 · Notes of Unit - 4

Q92. [2 marks] What is wage policy?

Wage & Salary Administration · ***

Wage policy is the set of principles and guidelines that an organisation or the government follows in fixing and administering wages and salaries.

- It should be fair to both employers and employees and consistent with law.
- Principles include equity, adequacy, incentive and ability to pay; "equal pay for equal work" is a key principle.

Marking scheme: Definition 1 · two points 0.5 each

Asked in: Important Questions - Unit 4, Q4 · Notes of Unit - 4

Q93. [3 marks] Distinguish between wages and salary.

Wage & Salary Administration · ***

Basis	Wages	Salary
Paid to	Workers (manual, unskilled)	Clerical, managerial and professional staff
Period	Daily or weekly	Monthly

Basis	Often hours or output	Fixed monthly amount

Wage determination is the process of fixing the wage rates for different jobs using job evaluation, market surveys and the organisation's ability to pay.

Marking scheme: Three differences 1 each

Asked in: Important Questions - Unit 4, Q4

Q94. [6 marks] Explain the concept of wage policy and wage determination. Discuss the principles and the factors that influence wage and salary administration.

Wage & Salary Administration · ***

Introduction

Wage policy is the guiding framework for fixing pay; **wage determination** is the process of fixing the wage rates for different jobs.

Principles

- Fairness to employers and employees; compliance with law.
- Equal pay for equal work.
- Adequacy, incentive and ability to pay.

Factors influencing wages

Internal factors	External factors
Ability to pay	Laws such as the Minimum Wages Act and bonus rules
Organisation's strategy	State of the economy; a depressed economy lowers wages
Job evaluation	Inflation and cost of living
Employee performance, experience and seniority	Labour market and competitors' pay
Employee potential	Trade unions; technology

Trade unions generally prefer **seniority** as an objective criterion for pay rises; management prefers performance.

Marking scheme: Concepts 1.5 · principles 1.5 · factors 3

Asked in: Important Questions - Unit 4, Q4 · Important Questions - Unit 4, Q6 · Notes of Unit - 4

Q95. [3 marks] Distinguish between minimum wage, fair wage and living wage.

Wage Concepts · ***

Wage	Meaning
Minimum wage	The lowest wage that meets the basic needs of a worker and his family; the legal floor under the Minimum Wages Act, 1948
Fair wage	Lies between the minimum wage and the living wage; depends on productivity, prevailing rates and the employer's capacity to pay
Living wage	A wage giving a decent standard of living including education, health and some savings

Order (lowest to highest): minimum wage, fair wage, living wage (Committee on Fair Wages, 1948).

Marking scheme: Three wages 2.5 · order 0.5

Asked in: Important Questions - Unit 4, Q5 · Notes of Unit - 4

Q96. [6 marks] Discuss the concept of minimum wage, fair wage and living wage. What is the role of Wage Boards in wage determination in India?

Wage Concepts · ***

Introduction

Wages are classified into three levels according to what they provide to the worker.

Wage	Meaning	Factors
Minimum wage	Basic needs of worker and family at the lowest acceptable level	Fixed by law (Minimum Wages Act, 1948)
Fair wage	Between minimum and living wage	Productivity of labour and capacity of the industry to pay
Living wage	Decent standard of living, education, health and some savings	Cost of living

Wage Boards

- A Wage Board is a **tripartite body** of employer, employee and independent members.
- It **recommends wage structure and related benefits** for an industry.
- Its recommendations guide wage determination in that industry and help in settling disputes.

Marking scheme: Introduction 0.5 · three wages 3 · wage boards 2.5

Asked in: Important Questions - Unit 4, Q5 · Notes of Unit - 4